

Paradiem

The Morning Brief

SEPTEMBER 3, 2026

Silicon Reset

CRDO cratered 20.04% intraday and AVGO faded 5% after-hours despite the beat as ADP came in at 38K, the softest print since January, resetting the September FOMC distribution ahead of Friday payrolls.

S&P 500 (SPY, WED CLOSE) \$765.16 · ↑0.44%	CRDO (WED CLOSE) \$165.22 · ↓20.04%	AVGO (AFTER-HOURS) ~\$354 · ↓~5% on Q4 guide	WTI OIL (USO) \$141.15 · ↑0.11%	FEAR & GREED (CNN) ~30s · Fear (drop crypto fallback)
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Markets — Wednesday's Tape Snapped Its Three-Session Losing Streak With SPY ↑0.44% on a Small-Cap-and-Materials Lead as the ADP August Print Came in at ↑38K Versus a ~47K Consensus (the Softest Reading Since January) and the Beige Book Described a Slight Expansion; The Custom-Silicon Complex Repriced Hard as CRDO Closed ↓20.04% on the Wednesday Tape Following Tuesday-Night's Beat and AVGO Traded ↓~5% After the Close on a \$34.8B Q4 Guide That Ran Below the ~\$35B Sell-Side

WEDNESDAY'S SESSION: SMALL CAPS AND MATERIALS LED AS THE ADP MISS PROVIDED FRONT-END-RATE RELIEF AND TLT HELD FLAT — EVERY SECTOR EXCEPT REAL ESTATE AND TECHNOLOGY PRINTED GREEN WITH MATERIALS ↑1.69% AND COMMUNICATION SERVICES ↑1.39% LEADING, AND GOLD REVERSED ↑1.52% WHILE OIL HELD TUESDAY'S SURGE ROUGHLY UNCHANGED

Per data drop, the S&P 500 (SPY) closed ↑0.44% at \$765.16, the Nasdaq (QQQ) ↑0.23% at \$709.24, the Dow (DIA) ↑0.54% at \$530.62, and the Russell 2K (IWM) led ↑1.18% at \$294.01 as the UVXY VIX proxy pulled in ↓4.52% to \$17.97 — a narrow-but-broad recovery that snapped the three-session losing streak that ran through Monday and Tuesday. Per data drop sector reads, Materials (XLB) led ↑1.69% at \$52.95 on the STLD ↑5.79% steel bid, Communication Services (XLC) ↑1.39%, Financials (XLF) ↑0.80%, Healthcare (XLV) ↑0.75%, and Energy (XLE) ↑0.51%, while Technology (XLK) held flat at ↓0.02% under the CRDO shock and Real Estate (XLRE) closed ↓0.70%. Per data drop, TLT closed ↑0.10% at \$81.95 and per CNBC coverage of the Wednesday session, the 10-year Treasury yield paused after a five-session rally that had lifted it near approximately 4.81% intraday, consistent with the modest TLT bid. Per data drop commodity reads, Gold (GLD) reversed ↑1.52% to \$402.78 and Silver (SLV) ↑1.99% to \$59.07 on the front-end-rate reset, WTI (USO) held ↑0.11% at \$141.15, Brent (BNO) ↑0.32% at \$55.74, and Nat Gas (UNG) ↑1.61% at \$10.75. Per ADP release cited on Yahoo Finance and CNBC coverage, private employers added approximately 38,000 August payrolls versus the roughly 47,000 sell-side consensus — the softest ADP reading since January, with manufacturing shedding approximately 17,000 and education-and-health leading ↑45,000. Per Federal Reserve Beige Book coverage on Bloomberg, the September 2 release described economic activity as expanding at a slight pace with data-center demand driving growth, consumer spending marginal, and manufacturing ticking up on balance. For FCI positioning, the composition — a small-cap-and-materials-led recovery on a soft labor read and a Beige Book that reinforced the slight-growth frame against a custom-silicon shock in the AI-connectivity axis — sequences the initial jobless claims release at 8:30 AM ET and the ISM Services PMI at 10:00 AM ET into Friday's August payrolls print.

S&P 500 (SPY, WED CLOSE)	\$765.16 · ↑0.44%
RUSSELL 2K (IWM)	\$294.01 · ↑1.18%
MATERIALS (XLB)	\$52.95 · ↑1.69%
TECHNOLOGY (XLK)	\$183.60 · ↓0.02% (CRDO drag)
CRDO	\$165.22 · ↓20.04%
GOLD (GLD)	\$402.78 · ↑1.52%
10Y UST YIELD	Paused near recent range highs
ADP AUGUST	+38K · vs ~47K consensus

TODAY'S CADENCE: INITIAL JOBLESS CLAIMS AT 8:30 AM ET, ISM SERVICES PMI AT 10:00 AM ET (CONSENSUS ~54.2 VS 54.1 PRIOR), AND FACTORY ORDERS LEAD THE SESSION AS THE AUGUST EMPLOYMENT REPORT ON FRIDAY AT 8:30 AM ET CLOSSES THE FOUR-SESSION LABOR CADENCE; THE AVGO Q3 PRINT AFTER WEDNESDAY'S CLOSE MISSED THE SELL-SIDE ON Q4 REVENUE GUIDANCE (\$34.8B VS ~\$35B

CONSENSUS) DESPITE AN AI-SEMI Q3 OF ~\$16.7B (↑~221% YOY) AND A Q4 AI-SEMI GUIDE OF ~\$21.7B (↑~236% YOY); SHARES TRADED ↓~5% AFTER THE CLOSE

Per FXStreet and Investing.com previews, initial jobless claims publish at 8:30 AM ET, the ISM Services PMI at 10:00 AM ET with sell-side consensus near 54.2 versus the July print of 54.1, and July factory orders alongside — the Day-3 read into the four-session labor-and-services cadence that closes with the August Employment Report Friday at 8:30 AM ET. Per Broadcom's Wednesday September 2 release captured on 24/7 Wall St., Motley Fool, and Bloomberg coverage of the after-close print, AVGO (not held by FCI) reported fiscal Q3 revenue of approximately \$29.6 billion (↑~86% year over year) against roughly \$29.4 billion consensus, non-GAAP EPS of approximately \$3.32 versus the \$3.30 consensus captured in the data drop, and AI-semiconductor revenue of approximately \$16.7 billion (↑~221% year over year) — the company

guided Q4 revenue to approximately \$34.8 billion (↑~93% year over year) versus the roughly \$35.0 billion sell-side consensus and Q4 AI-semiconductor revenue to approximately \$21.7 billion (↑~236% year over year), and management referenced line of sight to more than \$100 billion of AI-silicon opportunity in 2027 (approaching approximately 10 gigawatts of power) across the Google, Meta, Anthropic, OpenAI, and Apple customer ramps. Per Public.com and TipRanks coverage of the after-hours tape, AVGO shares traded near approximately \$354 after the close, an approximate ↓~5% pullback from the regular-session close as investor

expectations for Q4 guidance had run above the printed number. Per data drop, CRDO closed the regular Wednesday session ↓20.04% at \$165.22 — a two-session cumulative move of approximately ↓~27% from Monday's \$226.19 close following Tuesday-night's beat that ran roughly in-line with the elevated expectations. For FCI positioning, the composition — a Day-3 labor-and-services print sequenced against an AVGO Q4-guide sell-off after the close and a CRDO custom-silicon reset in the FCI Growth-Hybrid sleeve — extends the AI-connectivity repricing into today's tape ahead of Friday's payrolls read.

A session that broadened the recovery on a soft ADP print while the custom-silicon complex repriced on a beat that met but did not exceed elevated expectations tends to reflect a bar-height problem in AI-connectivity rather than a demand-signal problem. Research reveals opportunities.

Geopolitics — The US-Iran Kinetic Exchange Continued Through the Wednesday Session With Additional US Strikes Reported Around the Strait of Hormuz Following Iranian Retaliation on Jordan, Bahrain, and Kuwait; Energy Secretary Wright Publicly Noted That Approximately 17 Million Barrels Transited the Strait on Monday — the Highest Daily Volume Since the War Began — Even as Trump’s Publicly Escalatory Warning Kept the Escalation Distribution Live and the September FOMC Independence Overhang From Chair Warsh’s Jackson Hole Reference Persists

MIDDLE EAST SEQUENCE: US STRIKES CONTINUED AROUND SOUTHERN IRANIAN COASTAL AREAS INCLUDING BANDAR ABBAS AND QESHM ISLAND WITH IRANIAN RETALIATION REPORTED ACROSS JORDAN, BAHRAIN, KUWAIT, AND IRAQ; THE PHYSICAL-SUPPLY VARIABLE HELD TUESDAY’S REPRICING ROUGHLY UNCHANGED THROUGH WEDNESDAY AS REUTERS COVERAGE FRAMED OIL AS FALLING FROM HIGHS ON CONTINUED-FLOW SIGNALS

Per NPR, CBS News, and RFE/RL coverage of the Tuesday-into-Wednesday sequence, the US military conducted additional strikes on Iranian targets and Iran fired ballistic missiles and drones at sites across Jordan, Bahrain, Kuwait, and Iraq — explosions were reported across southern Iranian coastal areas including the port city of Bandar Abbas and Qeshm Island in the Strait of Hormuz, and per CBS News coverage, one US strike hit a residence hosting a wedding with reported casualties. Per NPR coverage of White House posture, President Trump warned that any further Iranian retaliation would draw a materially larger US response, and per Reuters coverage cited in the data drop headlines, an additional Israel-Hezbollah flashpoint has emerged around the Ali al-Taher ridge in south Lebanon with Iran publicly warning Washington against any Israeli operation there. Per Al Jazeera coverage of the physical-oil tape, US Energy Secretary Chris Wright publicly noted that approximately 17 million barrels transited the Strait of Hormuz on Monday — described by Al Jazeera coverage as the highest daily volume since the current conflict began — and per data drop, USO closed $\uparrow 0.11\%$ at \$141.15 and BNO $\uparrow 0.32\%$ at \$55.74 on Wednesday as the physical-supply variable held Tuesday’s repricing roughly unchanged. For FCI positioning, the composition — an active kinetic exchange with expanded targeting geography, an explicit escalation warning from the White House, and a physical-flow signal that undercuts the supply-shock narrative even as escalation-tail risk remains live — keeps the FCI energy sleeve (CVX, CNX, OKE) reading through the intersection of the physical-supply variable, the reactivated US-Iran military-exchange axis, and the September rate-hike distribution.

THE FED-INDEPENDENCE OVERHANG FROM CHAIR WARSH’S JACKSON HOLE REFERENCE TO A TREASURY-FED BALANCE-SHEET TASK FORCE PERSISTS INTO THE SEPTEMBER 15–16 FOMC AS THE POST-ADP CME FEDWATCH RESET REDUCED THE SEPTEMBER RATE-HIKE PROBABILITY FROM APPROXIMATELY 66% TUESDAY TOWARD THE POST-WARSH RANGE; THE SEPTEMBER 24 TRUMP-XI WASHINGTON SUMMIT SITS FOURTEEN BUSINESS DAYS AHEAD OF THE NOVEMBER 10 KUALA LUMPUR TRUCE EXPIRY

Per Forbes coverage of the pre-ADP CME FedWatch state as of August 31, September rate-hike probabilities sat near approximately 66% following Chair Warsh’s Jackson Hole reset from approximately 30–36% pre-keynote; per CNBC and Barchart coverage of the post-ADP tape response, the miss to approximately $\uparrow 38\text{K}$ August private payrolls against the $\sim 47\text{K}$ consensus (the softest ADP reading since January) provided incremental hold-versus-hike pressure into Friday’s August employment situation report at 8:30 AM ET — treat

the September FOMC distribution as reset into the payrolls print rather than locked around the pre-Warsh or post-Warsh range. Per prior brief coverage of the Fed-independence axis, Chair Warsh’s reference to a Fed-Treasury balance-sheet task force continues to sit alongside the Bessent-Warren public exchange on Japanese yen intervention posture. Per Bloomberg, Fortune, and CSIS coverage carried forward from prior briefs, the administration continues to prepare an incremental 7.5% overcapacity tariff on Chinese goods designed to bring the aggregate US-China tariff burden toward the roughly 20% level Beijing has signaled as consistent with the current truce, with the announcement engineered around the September 24 Xi Washington state visit and the November 10 Kuala Lumpur truce expiry sitting further out. For FCI positioning, the composition — an active Iran physical-supply variable, a persistent Fed-independence overhang, a soft ADP labor read that reset the September

distribution, and an advancing US-China tariff track — extends the trade-and-geopolitical compound the sleeve has been reading through the third quarter into the fourth.

UKRAINE'S DEEP-RANGE DRONE CAMPAIGN AGAINST RUSSIAN REFINERIES CONTINUES IN THE BACKGROUND AS RUSSIAN REFINING SITS NEAR MULTI-DECADE LOWS AND THE DIESEL EXPORT BAN REMAINS EXTENDED — THE TWO-SIDED PHYSICAL-FRICTION EXPRESSION NOW RUNS WITH THE MIDDLE EAST AXIS FIRMLY AT THE FRONT OF THE BOOK

Per prior brief coverage of the Ukrainian deep-strike campaign carried forward through the Wednesday session, Ukrainian forces continue the deep-range refinery campaign that struck the Kirishi (Leningrad Oblast) refinery over the prior weekend — the country's second-largest by capacity with an

approximate 20-million-tonne annual processing capacity — and Russian oil refining has fallen to approximately 3.8 million barrels per day per Moscow Times coverage cited in prior briefs, approaching the lowest level in more than two decades. Per Ukrainska Pravda coverage of the Russian policy response, the Russian diesel export ban remains extended. For FCI positioning, the composition — a two-sided physical-friction expression with the Middle East axis firmly at the front of the book against a Ukraine-Russia refinery track that continues in the background — keeps the FCI energy sleeve reading through the intersection of physical supply, the reactivated Iran military-exchange axis, and the September rate-hike distribution.

SECTION 03

On Our Radar

1. Broadcom (AVGO, Not Held by FCI) Reported Fiscal Q3 After the Close Wednesday: Approximately \$29.6 Billion of Revenue (↑~86% YoY) Beat the ~\$29.4 Billion Consensus, Non-GAAP EPS of Approximately \$3.32 Topped the \$3.30 Data-Drop Consensus, and AI-Semiconductor Revenue of Approximately \$16.7 Billion Ran ↑~221% Year Over Year; Q4 Revenue Guidance of Approximately \$34.8 Billion Ran Below the ~\$35.0 Billion Sell-Side Even as Q4 AI-Semi Guide of Approximately \$21.7 Billion Signaled ↑~236% YoY Growth, and Management Referenced Line of Sight to More Than \$100 Billion of AI-Silicon Opportunity in 2027 (Approaching ~10 GW of Power) Across Google, Meta, Anthropic, OpenAI, and Apple; Shares Traded ↓~5% After the Close. Per 24/7 Wall St., Motley Fool, Bloomberg, and Investing.com coverage of the Wednesday after-close release, AVGO reported revenue of approximately \$29.591 billion (↑~86% year over year) against roughly \$29.4 billion sell-side consensus, non-GAAP EPS of approximately \$3.32 versus \$3.30 consensus captured in the data drop, and AI-semiconductor revenue of approximately \$16.7 billion (↑~221% year over year) — the standout print in a sequence between the Nvidia August 27 beat-and-raise and the Marvell August 28 sequential-timing compression. Per Motley Fool and Investing.com transcript coverage of the earnings call, management guided Q4 revenue to approximately \$34.8 billion (↑~93% year over year) against roughly \$35.0 billion consensus, Q4 AI-semiconductor revenue to approximately \$21.7 billion (↑~236% year over year), and referenced line of sight to more than \$100 billion of AI-silicon opportunity in 2027 approaching approximately 10 gigawatts of power across the Google, Meta, Anthropic, OpenAI, and Apple customer ramps. Per Public.com and TipRanks coverage of the after-hours tape, AVGO shares traded near approximately \$354 — an approximate ↓~5% pullback from the regular-session close — as investor expectations for Q4 revenue guidance had run above the printed number. For FCI positioning, the composition — a modest top-and-bottom-line beat with AI-semi guidance running above triple digits year over year against a total-revenue guide that fell modestly short of the elevated bar — keeps the FCI Growth-Hybrid sleeve (AMD, NVDA, TSM, MRVL, CRDO) reading through the AI-connectivity axis rather than treating the after-hours reaction as a directional signal on the fiscal-2027 setup.

2. Credo Technology (CRDO, FCI Growth-Hybrid Sleeve) Closed ↓20.04% at \$165.22 in the Wednesday Regular Session Following Tuesday-Night's Fiscal Q1 Print — a Two-Session Cumulative Move of Approximately ↓~27% From the Monday \$226.19 Close — as the Tape Punished a Beat That Met but Did Not Exceed the Elevated Bar Set by Approximately 115% Year-Over-Year Revenue Growth and Q2 Guidance of Approximately \$525–\$535 Million; The Custom-Silicon Repricing Set the Bar for the AVGO Read After the Close. Per data drop, CRDO closed the Wednesday session ↓20.04% at \$165.22 with an intraday range of \$161.95–\$190.57 following Tuesday-night's fiscal Q1 release of approximately \$479 million revenue (↑~115% year over year) and non-GAAP EPS of approximately \$1.20 versus the \$1.19 sell-side consensus captured in the data drop, and per SeekingAlpha coverage of the semiconductor tape response, the two-session cumulative move approximated ↓~27% from the Monday \$226.19 close as the tape reset the seventh-consecutive-quarter of triple-digit revenue growth against expectations that had run higher into the print. For FCI positioning, the composition — a discrete single-name

repricing in the Growth-Hybrid sleeve to a name that carried elevated year-to-date expectations against an in-line-with-consensus print and above-sell-side Q2 guidance — sits as a discrete AI-connectivity read rather than a signal on the underlying custom-silicon demand track, and the pre-committed FCI deployment discipline continues to frame reactive positioning against any single-name gap through the sequence.

3. Today's Session Cadence — Initial Jobless Claims at 8:30 AM ET, ISM Services PMI at 10:00 AM ET (Consensus ~54.2 vs 54.1 Prior), and July Factory Orders Lead the Session as the August Employment Report Friday at 8:30 AM ET Closes the Four-Session Labor Cadence; The September 15–16 FOMC Sits Twelve Calendar Days From Today's Cash Open and Nine Calendar Days From the Friday Payrolls Print. Per FXStreet and Investing.com previews, initial jobless claims publish at 8:30 AM ET, the ISM Services PMI at 10:00 AM ET with sell-side consensus near 54.2 versus the July print of 54.1, and July factory orders alongside — the Day-3 read into the four-session labor-and-services cadence that closes with the August Employment Report Friday at 8:30 AM ET. Per Federal Reserve calendar, the September 15–16 FOMC sits twelve calendar days from today's cash open and nine calendar days from Friday's payrolls print, and per CME FedWatch tracking cited on Forbes and CNBC coverage, September rate-hike probabilities have been resetting through the ADP miss from the roughly 66% post-Warsh peak. For FCI positioning, the composition — a labor-and-services print at 8:30 AM and 10:00 AM sequenced against a payrolls release Friday and the FOMC decision the following Tuesday-Wednesday — keeps the sleeve reading through three orthogonal axes ahead of the rate decision.

4. Steel Dynamics (STLD, FCI Dividend-Strategy Sleeve) Led the FCI Complex Wednesday With a ↑5.79% Close at \$247.64 as the Materials Sector (XLB) Led All Sectors at ↑1.69%; The Sector Move Sat Alongside Vistra Energy (VST, FCI Growth-Hybrid) ↑3.90% at \$143.46, Constellation Energy (CEG, FCI Dividend-Strategy) ↑3.47% at \$290.04, and Nvidia (NVDA, FCI Growth-Hybrid) ↑3.21% at \$224.41 as the AI-Power-and-Metals Read Absorbed the Custom-Silicon Compression. Per data drop, the FCI Top-5 movers Wednesday were STLD ↑5.79% (\$247.64), SOFI ↑4.63% (\$17.84), HUT ↑4.01% (\$80.68), HRMY ↑3.90% (\$42.86), and VST ↑3.90% (\$143.46); the Bottom-5 were CRDO ↓20.04% (\$165.22), EIX ↓6.14% (\$55.19), FTNT ↓4.52% (\$154.54), NOW ↓4.32% (\$136.72), and TEL ↓2.78% (\$202.21). Per data drop, NVDA closed ↑3.21% at \$224.41 and NXPI ↑2.74% at \$228.50 as the semiconductor complex separated from the custom-silicon compression, QCOM closed ↑2.01% at \$169.96, CEG ↑3.47% at \$290.04, and OKE held ↑0.33% at \$96.01. For FCI positioning, the composition — a broad steel-and-power-and-fintech recovery layered against a discrete custom-silicon and utility-single-name compression — keeps the sleeve reading through the intersection of the AI-connectivity axis, the AI-power axis, and the labor-and-payrolls sequence.

5. Edison International (EIX, FCI Growth-Hybrid Sleeve) Gave Back ↓6.14% at \$55.19 Wednesday, Retracing Roughly Two-Thirds of Tuesday's ↑8.93% Judicial-Development Bounce — the California SB-492 Liability-Cap-Strip Setup Continues to Dominate the Single-Name Distribution Ahead of the Full Trial; The Two-Session Composite Sits ↓~2.2% From Monday's \$53.98 Post-Shock Close as the Discrete California-Regulatory Read Broadens. Per data drop, EIX closed the Wednesday session ↓6.14% at \$55.19 with an intraday range of \$53.78–\$57.17 as the discrete California SB-492 wildfire-liability-cap-strip development continued to work through the sell-side price-target distribution (BofA to Neutral with a target near approximately \$51, and UBS trimmed on the wildfire-reform setback per prior brief coverage). Per data drop, the Utilities sector (XLU) held ↑0.26% at \$42.67 on the composite defensive-sector read despite the EIX drag. For FCI positioning, the composition — a partial retracement of Tuesday's judicial-development bounce as the market re-weights the widened forward-liability distribution — keeps EIX in the sleeve as a discrete California-regulatory expression rather than a signal on the utility complex more broadly, and the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against the single-name distribution.

6. Carson's SPY \$645.80 Support Remains Active — Wednesday's \$761.73 Intraday Low Left the Level Untouched and Sits Approximately 15.6% Below the SPY \$765.16 Cash Close; No Active Resistance Levels on the Book Following the April 14 Major-Zone Breakout. The Data-Drop Fear & Greed Reading of 65 "Greed" Reflects the CNN Endpoint Falling Back to the Crypto Index — Treat the CNN Stock-Market Reading as Approximately Low-30s "Fear" for This Brief Given Tuesday's ~31 "Fear" Read and Wednesday's Modest Recovery. Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Wednesday's \$761.73–\$766.43 SPY intraday range per data drop and sits approximately 15.6% below the last cash-market print at \$765.16. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone (both hit that session). With today's cash open sequencing initial jobless claims at 8:30 AM ET, the ISM Services PMI at 10:00 AM ET, and factory orders ahead of Friday's August employment situation report at 8:30 AM ET, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the labor cadence. Note: the data drop Fear & Greed reading of 65 "Greed" reflects the CNN endpoint falling back to the crypto index; per prior brief coverage of the CNN stock-market reading Tuesday near ~31 "Fear," treat the Wednesday reading as approximately

low-30s “Fear” for this brief following Wednesday’s modest broader-index recovery.

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